

This is a distinction Phelps makes in his book *100 to 1 in the Stock Market*. He writes, “Failure to distinguish between ephemeral earnings fluctuations and basic changes in earnings power accounts for much over trading, [and] many lost opportunities to make 100 for one in the stock market.”

Don’t get lost following earnings per share on a quarterly basis. Even one year may not be long enough to judge. It is more important to think about earnings power. A company can report a fall in earnings, but its longer-term earnings power could be unaffected. In the same way, earnings may rise but the underlying earnings power may be weakening. For example, a company might have great earnings but a high percentage may come from one-off sources.

So, how do you separate the ephemeral earnings setback from the real thing? Well, there is no substitute for knowing the business you’ve invested in. If you don’t understand what you own, it’s impossible to make a wise choice. Let me illustrate by way of an example.

There is a business I like called General Finance (GFN). It’s a simple business. It leases containers — the kind of things you see on construction sites where people store things.

In addition to these, GFN leases

- freight containers — used by road and rail operators — which can store dry bulk goods and refrigerated goods;
- portable building containers — essentially mobile mini-offices or lunchrooms, first aid rooms, and so on — used by construction firms and natural-resource companies and even for public events;
- portable liquid tank containers — which can hold wastewater, chemicals and other liquids — used in oil and gas, environmental remediation and the like; and
- mobile offices and modular buildings.

The economics of container leasing are fantastic. Payback is only a few years, but the asset has a 40-year life. So, we’re talking about high returns on capital. The industry is fragmented, and there is lots of room to grow by acquiring mom-and-pop operations. And there is a talented and proven owner-operator in Ron Valenta.